

26STCV08883 26STCV08883

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Case Number: 26STCV08883 Hearing Date: August 19, 2026 Dept: 512

HEARING DATE: Weds., August 19, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Byrd

v. Michaels Stores, Inc., et al. COMPL. FILED: 03-19-26

CASE NUMBER: 26STCV08883

NOTICE: OK

PROCEEDINGS: MOTION

TO COMPEL ARBITRATION

MOVING PARTY: Defendants Michaels Stores, Inc.; EmployBridge,

LLC; and Suzy Kury

RESP. PARTY: Plaintiff Marcus Byrd

MOTION TO COMPEL ARBITRATION

(CCP §§ 1281, et

seq; 9 U.S.C. § 2)

TENTATIVE RULING:

Defendants Michaels Stores, Inc.; EmployBridge, LLC; and Suzy Kury's Motion to Compel Arbitration is

GRANTED.

The Court schedules Post-Arbitration Status Conference for February 16,

2026 at 8:30 a.m.

Moving party is to give notice of ruling.

SERVICE:

☒ Proof of Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address (CCP §§ 1013, 1013a) OK

☒ 16/21 Court Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed

on August 6, 2026 ☐

Late ☐ None

REPLY: Filed

on August 12, 2026 ☐ Late ☐ None

ANALYSIS:

I.

Background

On March 19, 2026, Plaintiff Marcus

Byrd ("Plaintiff") initiated the instant action against Defendants Michaels

Stores, Inc. ("Michaels"); EmployBridge, LLC ("EmployBridge"); and Suzy Kurt

("Kurt") ("Defendants") and Does 1-100, alleging causes of action for

Disability Discrimination in Violation of FEHA; Hostile Work Environment

Harassment on the Basis of Disability; Failure to Prevent Discrimination,

Harassment, and Retaliation; Wrongful Termination in Violation of Public

Policy; Failure to Pay Wages Due and Owing Upon Discharge; Failure to Provide

Accurate Wage Statements; and Failure to Provide Personnel File for Inspection.

(Compl., p. 1.)

On April 16, 2026, Plaintiff amended

the Complaint to correct the name "Suzy Kurt" to "Suzanne Kury" ("Kury").

On June

10, 2026, Defendants filed the instant Motion to Compel Arbitration (the

"Motion").

On August 6, 2026, Plaintiff filed an

Opposition and Evidentiary Objections to the Bredehoft and Huston declarations

filed in support of the Motion.

On August 12, 2026, Defendants filed a

Reply and Responses to Plaintiff's Evidentiary Objections.

II.

Evidentiary

Objections

In conjunction with the Opposition,

Plaintiff submits various objections to the Bredehoft and Huston declarations filed

in conjunction with the Motion. (Opp., Evid. Objections.) In conjunction with

the Reply, Defendants submit responses to all of Plaintiff's objections.

(Reply, Reply to Plaintiff's Objections to Evidence.)

The Court OVERRULES all of Plaintiff's

objections to the Bredehoft and Huston declarations as the Court finds the

statements challenged contain sufficient personal knowledge and foundation, are

relevant, and do not constitute impermissible hearsay for the purpose(s)

offered.

III.

Legal

Standard & Discussion

Defendants bring the instant Motion

seeking to compel Plaintiff to submit to arbitration based on the arbitration

clause ("Arbitration Agreement") included in Plaintiff's employment contract

with Defendants. (Motion, MPA, pp. 1-2, Bredehoft Decl., Exhs. A-B.)

A. Governing Law

Here, the Arbitration Agreement

expressly states it is governed by the Federal Arbitration Act ("FAA").

(Motion, Bredehoft Decl., Exh.,

B, p. 1.)

The Federal Arbitration Act, set forth

at 9 USC, section 2, provides:

A written provision in any maritime

transaction or a contract evidencing a transaction involving commerce to settle

by arbitration a controversy thereafter arising out of such contract or

transaction, or the refusal to perform the whole or any part thereof, or an

agreement in writing to submit to arbitration an existing controversy arising

out of such a contract, transaction, or refusal, shall be valid, irrevocable,

and enforceable, save upon such grounds as exist at law or in equity for the

revocation of any contract.

(9

U.S.C., § 2.)

Accordingly,

under both the FAA and California Law, arbitration agreements are valid,

irrevocable, and enforceable, except on such grounds that exist at law or

equity for voiding a contract. (Winter v. Window Fashions Professions, Inc.

(2008) 166 Cal.App.4th 943, 947.)

Thus, the Court applies the FAA's procedural

rules, and California law when appropriate and when not preempted by the FAA.

(See e.g., *Western Bagel Co. v. Superior Court* (Calderon) (2021) 66

Cal.App.5th 649, 664-666.)

B. Existence of Arbitration Agreement

In deciding a motion to compel

arbitration, trial courts must first decide whether an enforceable arbitration

agreement exists between the parties, and then determine the second gateway

issue of whether the claims are covered within the scope of the agreement. (See

Chiron Corp. v. Ortho Diagnostic Systems, Inc. (2000) 207 F.3d 1126,

1130 [“The court’s role under the [FAA] is therefore limited to determining (1)

whether a valid agreement to arbitrate exists and, if it does, (2) whether the

agreement encompasses the dispute at issue”].)

“The burden of persuasion is always on

the moving party to prove the existence of an arbitration agreement with the

opposing party by a preponderance of the evidence.” (*Gamboa v.*

Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.)

Defendants present an authenticated

copy of the Arbitration Agreement between EmployBridge and Plaintiff that bears

Plaintiff’s signature and thus meets its initial burden. (Motion, Bredehoft

Decl., Exhs. A-B; see *Bannister v. Marinidence*

Opco, LLC (2021) 64 Cal.App.5th 541, 543-544 [The moving party “can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature”).)

Plaintiff does not challenge the

existence of the Arbitration Agreement itself, Plaintiff's signing of the

Arbitration Agreement, or that the Complaint's claims as to EmployBridge and

Michaels are within the scope of the Arbitration Agreement.

However, in Opposition, Plaintiff states Kury

cannot enforce the Arbitration Agreement under principles of third-party

beneficiary or equitable estoppel as Kury has not satisfied the elements for

third-party beneficiaries; the Agreement contains merely boilerplate language

regarding third-party beneficiaries; and Plaintiff's statutory FEHA claims

against Kury cannot be transformed into contract-based claims intertwined with

the Agreement. (Opp., pp. 10-11.)

In Reply, Defendants assert Kury may enforce

the Agreement as the Agreement expressly provides “that its provisions apply,

as explicit third-party beneficiaries, to Defendant EmployBridge's clients

where Plaintiff may be sent to work.” (Reply, p. 5.) In the Complaint,

Plaintiff “alleges that Defendant EmployBridge placed him at Defendant

Michaels' Lancaster facility and that Michaels was his joint employer. ...

Plaintiff sues Kury solely for alleged conduct undertaken in her capacity as Michaels' Human Resources Manager, while 'acting within the course and scope of her employment and as an agent of Defendant Michaels.... Plaintiff also alleges that in Kury's capacity as a Human Resources Manager, she 'was a managing agent of Defendant Michaels with authority over employment decisions, including hiring, termination, accommodation, and compliance with the FEHA.' " (Reply, p. 5; Compl.) Apart from the terms of the Agreement, Defendants also state that "equitable estoppel independently supports arbitration." (Reply, p. 6.) Defendants assert Plaintiff's claims are also so intertwined with the underlying contract obligations that it warrants Kury's invocation of the Arbitration Agreement. (Reply, p. 6.)

" 'Generally speaking, one must be a party to an arbitration agreement to be bound by it or invoke it.' " (Watson v. Professional Business Management Corp. (2026) 120 Cal.App.5th 860, 868.)

There are limited exceptions to this general rule, including "incorporation by reference; assumption; agency; veil-piercing or alter ego; estoppel; and third party beneficiary." (Ibid.)

In regard to the application of equitable estoppel principles, "under both federal and California decisional authority, a nonsignatory defendant may invoke an arbitration clause to compel a signatory

plaintiff to arbitrate its claims when the causes of action against the

nonsignatory are 'intimately founded in and intertwined' with the underlying

contract obligations." (Boucher v. Alliance Title Co., Inc.

(2005) 127 Cal.App.4th 262, 271.) "[A]

party may not make use of a contract containing an arbitration clause and then

attempt to avoid the duty to arbitrate by defining the forum in which the

dispute will be resolved." (Id., at p. 272.)

Here, the Arbitration Agreement is between

EmployBridge and Plaintiff, as well as Employbridge's "related entities,

parents, affiliates and subsidiaries," and the Agreement states that "all of

the provisions within this Agreement are intended to also apply to the

Company's clients where you may be sent to work as explicit third-party

beneficiaries of this Agreement." (Motion, Bredehoft Decl., Exh. B, p. 1.)

The parties do not dispute that Plaintiff

signed the Arbitration Agreement with EmployBridge and was sent to work at

Michaels, whereat Kury also worked. (See Compl.; Motion; Opp.; Reply.)

Given these circumstances, the Court

finds that Michaels and Kury are EmployBridge's clients and thus members of the

classes of persons/entities for whose benefit the arbitration clause was, in

part, made. (See Watson, supra, 120 Cal.App.5th at p. 868; Ronay Family Limited Partnership v.

Cal.App.4th 830, 838-839.) Defendants therefore made a sufficient showing to enforce the arbitration agreement against Michaels and Kury as third-party beneficiaries.

Moreover, the Complaint in this action

alleges that Michaels and EmployBridge were joint employers of Plaintiff, and

Kury was employed by Michaels and, at all times relevant to this action, was

acting within the course and scope of her employment and as an agent of

Michaels. (Compl., p. 2.)

As such, the Court also finds the

instant action's "causes of

action against the nonsignator[ies] are 'intimately founded in and intertwined'

with the underlying contract obligations," and thus all Defendants are bound by

the Arbitration Agreement. (See Boucher, supra,

127 Cal.App.4th at pp. 272-273.)

Given

these circumstances, the Court finds the Arbitration Agreement applies to all Defendants,

including Kury.

Accordingly, the Court finds

Defendants met their burden to prove the existence of a valid arbitration

agreement between all the named parties that encompasses the claims raised in the instant action.

C. Enforceability – Unconscionability

“ ‘The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.’ [Citation] But they need not be present in the same degree. “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” . . . In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz v. Foundation Health Psychcare Services, Inc., (2000) 24 Cal.4th 83, 114 (“Armendariz”).)

Procedural Unconscionability

Plaintiff contends there is a high level of procedural unconscionability in this matter given that Defendants’ declarations in support of the Motion do not expressly state Plaintiff was free to accept or decline the Arbitration Agreement; the Arbitration Agreement was

presented to Plaintiff in a bundle of other onboarding documents; the Arbitration Agreement was a standardized, pre-printed form drafted unilaterally by EmployBridge; there is inherent inequality of bargaining power between the parties; Plaintiff was under pressure by Defendants to complete the paperwork; Defendants did not explain the contents of the onboarding documents, including the Arbitration Agreement, to Plaintiff; the Arbitration Agreement was presented as a take-it-or-leave-it basis; and the Arbitration Agreement references the FAA without “attaching, describing, or otherwise disclosing that referenced federal procedure anywhere within the four corners of the Agreement itself.” (Opp., pp. 5-9.)

In Reply, Defendants highlight that the top of the Agreement, written in large font that is a different color than the body of the Agreement, expressly states that signing the Arbitration Agreement is voluntary and not a condition of employment, and the bottom of the Agreement provided Plaintiff with the option to accept or decline the Arbitration Agreement. (Reply, pp. 3-4.) Further, Defendants were under no obligation to provide Plaintiff with the Arbitration Agreement at a time separate and apart from other onboarding documents, and Plaintiff's failure to read the Arbitration Agreement does not excuse Plaintiff from participating in arbitration. (See Reply, p. 4.) Finally, Defendants highlight that Plaintiff's

own declaration demonstrates Plaintiff was not pressured to sign the Arbitration Agreement as Plaintiff states having six days to complete onboarding documents, including the Arbitration Agreement, prior to Plaintiff's employment start date. (Reply, pp. 4-5.)

“ ‘Procedural unconscionability’ concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on factors of oppression and surprise. The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party. The component of surprise arises when the challenged terms are ‘hidden in a prolix printed form drafted by the party seeking to enforce them.’ ” (Nyulassy v. Lockheed Martin Corp. (2004) 120 Cal.App.4th 1267, 1281.)

As to procedural unconscionability, the Court finds there is inequality in bargaining power between Plaintiff and Defendants given the nature of their roles that makes it likely that Plaintiff felt at least some pressure to sign the Arbitration Agreement. (See Sanchez v. Western Pizza Enterprises, Inc. (2009) 172 Cal.App.4th 154, 174.)

Besides alleging inequality of bargaining power, the Court finds Plaintiff's other challenges to the

Arbitration Agreement do not demonstrate any level, let alone a moderate or high level, of oppression or surprise.

The Court finds that the instant

Arbitration Agreement does not appear to be an adhesion contract as it expressly provides that the Arbitration Agreement is “voluntary and not a condition of employment” in large font at the top of the Arbitration Agreement and in blue, which is a different font color than that used in the rest of the Arbitration Agreement. (Motion, Bredehoft Decl., Exh. B.)

Further, the Court finds that Plaintiff’s

failure to read the Arbitration Agreement does not demonstrate a high level of procedurally unconscionability. (See Ramirez, supra, Cal.App.3d at p. 754; see also Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 759 [“It is hornbook law that failing to read an agreement before signing it does not prevent formation of a contract”].) Moreover, Plaintiff was required to act diligently before signing the Arbitration Agreement, and Defendants were not required to explain the Arbitration Agreement to Plaintiff. (See Rowland, supra, (1992) 4 Cal.App.4th at p. 286.)

As to Plaintiff’s challenge to the

Arbitration Agreement on the grounds that the FAA was not highlighted or included in the Arbitration Agreement, the Court finds “Plaintiff does not

claim anything was hidden in the [FAA]. Rather, [Plaintiff] contests only matters related to the agreement itself. Therefore... the failure to attach the applicable [FAA] did not increase the procedural unconscionability of the... arbitration provision.” (Nguyen, supra, 4 Cal.App.5th at p. 249.)

To the extent Plaintiff asserts he was pressured to sign the Arbitration Agreement, the Court finds Plaintiff's evidence either fails to demonstrate any pressure by Defendants or refutes this assertion. Indeed, Plaintiff's declaration filed in support of the Opposition states Plaintiff had multiple days to review the onboarding documents, including the Arbitration Agreement, prior to Plaintiff's employment start date, and Plaintiff completed the onboarding documents electronically and apparently outside the presence of any of Defendants. (Opp., Byrd Decl., ¶¶ 2-8.) These circumstances demonstrate a lack of temporal pressure or any other kind of pressure to sign the onboarding documents, including the Arbitration Agreement. Notably, the Court also highlights that Plaintiff does not dispute that the Arbitration Agreement itself was clear and not difficult to read. Thus, the Court finds that the circumstances surrounding Plaintiff's signing of this Agreement and Arbitration Agreement contain a low level of procedural unconscionability.

The Court now proceeds to address

whether the Arbitration Agreement is substantively unconscionable.

Substantive Unconscionability

In Opposition, Plaintiff contends the

Arbitration Agreement is substantively unconscionable on the following grounds:

the Agreement's discovery provision is ambiguous and discretionary, and the

Agreement includes an unconscionable representative action waiver. (Opp., pp.

4-5.)

In Reply, Defendants contend the Agreement's discovery

provision is not substantively unconscionable as the Agreement "ensures

adequate discovery by entrusting discovery management to a neutral arbitrator and, rather than

imposing a one-sided limitation on Plaintiff, and applies equally to both

parties. The Agreement does not prohibit depositions, discovery requests,

expert witnesses or any category of proof Plaintiff contends he will need."

(Reply, pp. 2-3.) Further, Defendants assert that Plaintiff does not plead any

PAGA or representative causes of action in the Complaint and, in any event, this

provision can be severed from the Agreement. (Reply, p. 3.)

Substantive unconscionability focuses on the

actual terms of the agreement and evaluates whether the terms create "overly

harsh" or "one-sided" results as to shock the conscience. (Armendariz,

supra, 24 Cal.4th at p. 114.)

As to substantive unconscionability,

the Court finds the Agreement only holds a low or at most moderate level of substantive unconscionability.

First, the Court finds the discovery

provision in the Arbitration Agreement does not involve a high level of

unconscionability. As to discovery, the Arbitration Agreement states that “[t]he

arbitrator shall have the discretion to permit reasonable discovery necessary

to allow the parties to adequately arbitrate their claims and/or defenses.”

(Motion, Bredehoft Decl., Exh. B, p. 2.) The Court finds there is no compelling

reason to construe this provision that grants the arbitrator authority to

handle discovery as unconscionable, impermissibly limiting, or one-sided in any

way. (See *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478,

506.) Indeed, courts assume “the arbitrator will act reasonably and in

conformity with the law” (*ibid.*), and this provision fails to present

any reason this Court should assume the arbitrator will act otherwise. Furthermore,

Plaintiff fails to present any reason, legal authority, or evidence

demonstrating the Court should hold otherwise.

Finally, the Court finds there are no

other factors that suggest the Court should find a moderate, let alone high,

level of substantive unconscionability in the Arbitration Agreement's discovery provision. (See *ibid.* ["The assessment of whether a discovery clause is unconscionable should focus on general factors that can be examined without relying on subsequent developments. Those factors include the types of claims covered by the agreement, the amount of discovery allowed, the degree to which that amount may differ from the amount available in conventional litigation, any asymmetries between the parties with regard to discovery, and the arbitrator's authority to order additional discovery"].)

As to Plaintiff's allegations regarding an impermissible representative waiver in the Arbitration Agreement, the parties do not dispute that there is not a representative or PAGA claim alleged in the Complaint. (See Compl.; Opp.; Reply) In any event, the Court finds that in the instant case, an impermissible representative or PAGA waiver would be the sole surviving ground for Plaintiff's assertion that the Arbitration Agreement is substantively unconscionable which could be severed from the Arbitration Agreement given that the Arbitration Agreement is not permeated with unconscionability. (See *Subcontracting Concepts (CT), LLC v. De Melo* (2019) 34 Cal.App.5th 201, 215; *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Under the circumstances, the Court finds

that, at most, the Arbitration Agreement contains a low or moderate level of substantive unconscionability.

“As with any contract, the unconscionability

inquiry requires a court to examine the totality of the agreement's substantive

terms as well as the circumstances of its formation to determine whether the

overall bargain was unreasonably one-sided.” (Sonic-Calabasas A, Inc. v.

Moreno (2013) 57 Cal. App. 4th 1109, 1146.)

Based on the foregoing, the Motion is

GRANTED.

IV.

Conclusion

& Order

Based on the

foregoing reasons, Defendants Michaels Stores, Inc.; EmployBridge, LLC; and

Suzy Kury's Motion to

Compel Arbitration is GRANTED.

The Court schedules Post-Arbitration

Status Conference for February 16, 2026 at 8:30 a.m.

Moving parties are ordered to give

notice.